Statement of Business Problem

Retail Growth & Customer Retention Diagnostic | Prepared for: Project Team

Background

The company operates an online retail marketplace connecting sellers across Brazil with customers nationwide. Over the last two fiscal years, order volume has remained broadly stable, but total revenue growth has flattened, and leadership has flagged this as a strategic concern heading into the next planning cycle.

Problem Description

Finance and Sales Operations have observed the following pattern in internal reporting:

- Average revenue per customer has declined year-over-year despite stable new customer acquisition
- A growing proportion of customers place a single order and do not return within 6 months
- Customer satisfaction scores (review ratings) show a wider spread, with a visible cluster of low scores tied to late deliveries
- No standardized view currently exists that connects customer behavior, product category performance, and delivery outcomes

Business Impact

If repeat purchase rates continue to decline, the business faces rising customer acquisition costs as a share of revenue, since new customers are increasingly required to offset attrition rather than to drive incremental growth. This directly affects marketing ROI and long-term customer lifetime value.

Cost of Inaction

Continuing without a clear diagnostic view means retention and growth initiatives will be planned on assumption rather than evidence, risking misallocated marketing spend and continued margin pressure.

Desired Future State

- Leadership has a clear, data-backed view of which customer segments and product categories drive retention
- A repeatable, self-service reporting view (dashboard) replaces ad hoc reporting requests
- At least two to three prioritized, actionable recommendations are available for the next planning cycle

Requested Action

Sales Operations, on behalf of the Executive Sponsor, is requesting a Business Analyst-led diagnostic engagement to investigate the above problem and deliver findings within a four-week window.